11.5 BEAR PUT SPREAD STRATEGY

Explainer Video

The bear put spread strategy is more or less similar to call spread strategy, but with put options and to be used when we expect the underlying asset's price to go down. This strategy is used when we are Bearish on the underlying asset. This strategy would also limit our upside potential profit as well as losses. In this strategy a net premium is paid as compared to received.

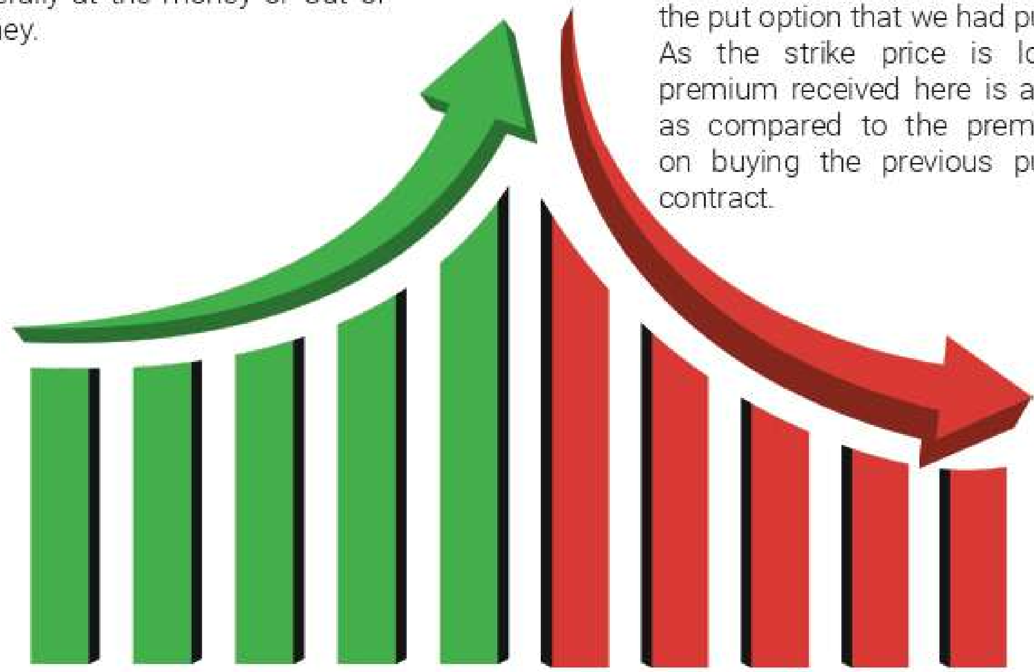
STEPS TO FORM A BEAR PUT STRATEGY

BUY

We buy a Put Option with which is generally at the money or Out of money.

SELL

We sell a put option with Strike price that is lower than the strike price of the put option that we had purchased. As the strike price is lower, the premium received here is also lower as compared to the premium paid on buying the previous put option contract.



MAXIMUM LOSS = NET PREMIUM

BREAKEVEN = STRIKE PRICE OF PUT PURCHASED – NET PREMIUM

MAXIMUM PROFIT = DIFFERENCE IN STRIKE – NET PREMIUM